

Status:	To Do
Project:	Design
Components:	None
Affects versions:	None
Fix versions:	None
Parent:	Accounting Software

Type:	Story	Priority:	Medium
Reporter:	Beatrice Ozanne	Assignee:	ayepapa myo
Resolution:	Unresolved	Votes:	0
Labels:	None		
Σ Remaining Estimate:	Not Specified	Remaining Estimate:	Not Specified
Σ Time Spent:	Not Specified	Time Spent:	Not Specified
Σ Original Estimate:	Not Specified	Original estimate:	Not Specified

Attachments:	 Screenshot 2569-06-06 at 22.49.47.png				
Sub-tasks:	Key	Summary	Type	Status	Assignee
	DES-763	Credit Notes Settings	Sub-task	To Do	
Sprint:					

Description

Background

Clients sometimes need to cancel or reduce an unpaid sales invoice — a customer cancels an order, a price is corrected, a discount is applied. In Block 1 (Sales Invoice), "Cancel with Credit Note" creates a credit note linked to the invoice: a full credit cancels the invoice, a partial credit reduces the amount due.

Goal

Let a client create a sales credit note against an unpaid invoice (Awaiting Payment / Overdue) — pre-filled from that invoice — which fully cancels or partially reduces the invoice, then optionally send it.

Acceptance Criteria

1. Start a credit note from an unpaid invoice

GIVEN an invoice in Awaiting Payment or Overdue status
WHEN the client selects "Cancel with Credit Note"
THEN the system opens a New Credit Note form pre-filled from the invoice, with all fields editable (see Carried-Over Data below)

1. Edit and create the credit note

GIVEN the pre-filled credit note form
WHEN the client edits/confirms the details and selects "Create Credit Note"
THEN the system validates the input and creates the credit note **linked to the originating invoice**
AND the credited amount cannot exceed the invoice's outstanding amount

1. Apply the credit to the linked invoice

GIVEN the credit note is created
WHEN the system applies it to the invoice
THEN it updates the invoice according to the credited amount (see Credit Outcome below)

1. Send the credit note

GIVEN a created credit note
WHEN the system displays the "Send Credit Note" screen
THEN the client can close, or choose a send method (email / shareable link / download), reusing the invoice send flow (STORY5_send_sales_invoice.md)

1. Create failure is recoverable

GIVEN the client selects "Create Credit Note"
WHEN the create fails (validation or backend error)
THEN the system shows a clear error, retains the entered details, and lets the client correct and retry

Rules

Credit Outcome

Credited Amount	Linked Invoice Result
Full invoice amount	Invoice marked Cancelled
Partial amount	Invoice stays Awaiting Payment ; outstanding reduced by the credited amount (deducted amount displayed)

Carried-Over Data (pre-fill from invoice)

Field	Behaviour
Client info	Carried over from the credited invoice; editable
Linked invoice number	Carried over and stored as the link; reference shown on the credit note
Line items / products & services	Carried over; editable for a partial credit
Currency	Same as the credited invoice

Notes

- Surface: client side is the **mobile app**; the Operation Manager **back office is web**.
- Applies to **unpaid** invoices (Awaiting Payment / Overdue). For **Paid** invoices, the refund-with-credit-note flow is a separate story (Story 7).
- "Cancelled" is the standard end state for a fully credited invoice (replaces the earlier "Void" wording in Stories 3–5).
- Dev note: data related to the credited invoice (client info + invoice number) is **carried over** to the credit note.
- **Journal entries** — issuing a credit note reverses the related journal entries; this posting/reversal is specified in the Chart of Accounts / Journal story, not here.
- Out of scope: the refund flow, the View Credit Note flow, and journal posting.
- Multiple partial refunds can be raised cumulatively against one invoice. Allow multiple credit notes against one invoice, capped at the invoice total. Track cumulative credited amount; when it equals the invoice total, status → Refunded.
- Credit notes have their own number sequence (CN-XXXX, separate from invoices) and own lifecycle, independent of the invoice.
- A reason field is required on the refund credit note. Dropdown (return / defect / pricing error / goodwill / dispute) plus optional free text.
- For "mark as already refunded" a reference/proof (date, method, amount) must be captured: date, method, amount at minimum. Needed as evidence and to post the journal.
- Pending Refund must be shown as "awaiting refund" list for visibility. No automated SLA or reminders.

Workflow Diagram

